Industries, associated usually with petrochemicals, worked in Aden from 1948 for a decade, learning the tricks of the trade as a gas station attendant.[41] But he returned to India, like many others, once British exit from Aden was imminent in the 1960s and the population of Indians in Aden or Yemen dwindled thereafter. Iraq was another West Asian country which attracted over a 1,00,000 Indian troops serving in the British army during World War I, and for a brief period flirted with proposals of Indian colonization, but to no further avail.[42]

It was oil that eventually took the Indians to the Gulf states in large numbers in the 1970s, but the trickle had already begun a few decades earlier. In the early part of the 20th century, British and American firms were scouting for oil along the Arabian shore of the Persian Gulf, after the Anglo-Persian Oil Company, or APOC (part of which became British Petroleum), had discovered a large oil field in Persia, or Iran, in 1908.[43] Significantly, the APOC's field manager, George Bernard Reynolds (1853–1925), an engineer, had worked with the Indian Public Works Department for two decades. After the firm's incorporation in 1909, he began recruiting Indian workers for APOC in Persia. One official commented that:[44]

> Local Arabs, like the Bakhtiari, are under no pressing necessity to look beyond their crops and flocks for employment, so nearly all artisans, labourers et cetera are being imported.

Within fifteen years, the number of Indians working with APOC in Iran rose to nearly 3000, with some of the recruits coming from the discharged army in Iraq. The abolition of the indentured system and the passing of the Emigration Act of 1922 meant that APOC had to open a formal recruiting office in Bombay, setting a template for others to follow. During the years of the Great Depression, APOC downsized its workforce and many Indians switched to the Bahrain Petroleum Company (BAPCO), an American firm founded in 1932 in Bahrain, which in turn opened its first recruiting office in Bombay in the late 1930s. This was followed by the Kuwait Oil Company (KOC) and the Arabian American Oil Company (ARAMCO), which placed a recruiting agent in Bombay in 1944.